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Secure Distribution Venture Pvt. Ltd.

What is Security Deposit Funding?

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Chapter 1: Product Overview & Core Philosophy of Security Deposit Funding

Security Deposit Funding (SDF)—also known in Indian commercial banking as Lease Security Deposit Financing or Security Deposit Discounting—is a specialized asset-backed structured debt product designed to advance non-dilutive capital against Interest-Free Refundable Security Deposits (IFRSD) mandated under commercial, retail, IT/ITeS, and industrial lease agreements. In Indian real estate transactions, landlords systematically require tenants to deposit 3 to 12 months of gross monthly rent upfront in liquid cash. This creates a severe liquidity lockup, trapping substantial equity on corporate balance sheets in non-earning assets. Security Deposit Funding resolves this friction by advancing 70% to 85% of the security deposit value as structured institutional debt, converting static cash lockups into active working capital for rapid business expansion.

The core rationale of Security Deposit Funding centers on optimizing Return on Invested Capital (ROIC). When a corporate tenant expands its footprint—such as a retail chain opening 30 new stores or an IT operator leasing 100,000 square feet of Grade-A office space—paying 100% of security deposits in cash starves the enterprise of growth capital. By leveraging an SDF facility @ 8.50% to 11.50% p.a., the tenant pays small monthly installments (EMIs) out of operational cash flows while deploying the freed deposit capital into core operations that generate 18% to 25% ROIC, creating massive net economic value.

Security Deposit Funding operates through two distinct structural perspectives in the Indian wholesale credit market:
1. Tenant-Side Security Deposit Funding (Primary Model): The institutional lender advances debt directly to the corporate tenant (lessee) to fund the upfront deposit payable to the landlord. The tenant pledges its right to receive the deposit refund at lease expiry to the lender.
2. Landlord-Side Deposit Monetization (Secondary Model): Commercial property developers or landlords possessing large accumulated pools of refundable tenant deposits discount or pledge these receivables to institutional lenders to raise low-cost capital for property maintenance, debt refinancing, or new project construction.

> **EXECUTIVE CORE PHILOSOPHY:** Security Deposit Funding converts static, zero-earning lease security deposits into active corporate capital. By advancing 70%-85% of deposit values as structured term debt, SDF enables enterprises to expand physical locations 3x to 5x faster while achieving superior Return on Capital Employed (ROCE).

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Comparative Taxonomy: SDF vs Other Corporate Debt Products

The following matrix provides a multi-dimensional structural comparison of Security Deposit Funding against other prevalent Indian wholesale finance products:

Parameter	Security Deposit Funding (SDF)	Lease Rental Discounting (LRD)	Equipment Leasing	Overdraft / CC Facility
Primary Asset Base	Refundable Lease Security Deposit Receivables	Future Contracted Rent Revenues	Moveable Plant, Machinery & Equipment	Current Assets (Inventory & Receivables)
Target Borrower	Corporate Tenant / Lessee	Commercial Property Landlord / Lessor	Equipment User / Operator	Operating Business Unit
Typical LTV Ratio	70% to 85% of Refundable Deposit	55% to 75% of Rent Net Present Value (NPV)	75% to 90% of Equipment Invoice	60% to 75% of Drawing Power
Repayment Source	Monthly Cash Flows + Terminal Deposit Refund	Escrowed Monthly Lease Rent Receipts	Equipment Operating Cash Flows	Operating Receivables Collections
Primary Security	Tripartite Assignment of Deposit + ROC Charge	Mortgage of Property + Rent Assignment	Hypothecation of Moveable Equipment	Hypothecation of Stocks & Receivables

So What? While Lease Rental Discounting (LRD) monetizes rent cash flows for property owners, Security Deposit Funding uniquely unlocks trapped liquidity for corporate tenants, filling a critical gap in tenant balance sheet optimization.

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Chapter 2: Structural Architecture, Workflow & Escrow Cash Waterfall

The operational lifecycle of a Security Deposit Funding transaction follows a rigorous six-stage structured workflow engineered to insulate the lender against counterparty default, unauthorized deposit deductions, and tenant eviction risks:

- **Stage 1: Commercial Lease Execution & Due Diligence:** The corporate tenant executes a registered commercial lease deed with a creditworthy landlord, incorporating a clear, interest-free refundable security deposit clause with defined refund timelines (typically within 15 to 30 days of lease expiration or vacant possession handover).

- **Stage 2: Credit Underwriting & LTV Sanction:** The lender evaluates the tenant's corporate creditworthiness, DSCR/FCCR capacity, and the landlord's property title and solvency, sanctioning a facility of 70% to 85% of the deposit value.

- **Stage 3: Binding Tripartite Assignment Agreement:** A legally binding Tripartite Assignment Agreement is executed among Lessee (Borrower), Lessor (Landlord), and Lender. The landlord explicitly acknowledges the lender's primary lien, agrees to deposit monthly rent into a designated Escrow account, and undertakes to refund the security deposit directly to the lender's Escrow account upon lease determination.

- **Stage 4: Direct Facility Disbursement:** The lender disburses the sanctioned SDF loan amount directly to the landlord's bank account on behalf of the tenant, with the tenant funding the remaining 15% to 30% margin equity.

- **Stage 5: Monthly Debt Servicing (EMI Sweep):** The tenant services monthly Equated Monthly Installments (EMIs) comprising principal and interest from its operational revenue stream via automated NACH mandate or Escrow sweep.

- **Stage 6: Terminal Deposit Refund & Loan Discharge:** Upon lease expiration or early termination, the landlord transfers the refundable security deposit directly into the Escrow account. The lender applies the funds to clear any remaining loan principal and releases the net surplus refund to the tenant, formally discharging the facility.

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Escrow Trust & Retention Account (TRA) Cash Waterfall

To eliminate cash diversion, Security Deposit Funding structures utilize a ring-fenced Escrow Trust & Retention Account (TRA) governed by the following priority payment waterfall:

Priority Tier	Cash Waterfall Layer	Mechanism & Structural Guardrails
Priority 1	Gross Lease Rent Collections	Tenant deposits monthly gross lease rent into the ring-fenced Escrow TRA Account by the 1st-5th of each month.
Priority 2	Statutory Tax Deductions	Automated deduction of Statutory Tax Deducted at Source (TDS u/s 194I @ 10%) and GST payments.
Priority 3	Senior Debt Service Sweep (SDF EMI)	Escrow Agent automatically sweeps monthly SDF principal and interest EMI into the Lender's Debt Service Account.
Priority 4	Net Rent Payout to Landlord	Remaining balance of monthly rent is transferred to the Landlord's designated operational account.
Priority 5	Terminal Deposit Recovery Sweep	100% of terminal deposit refund from Landlord flows into Escrow to extinguish remaining principal before releasing surplus to Tenant.

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Chapter 3: Regulatory, Statutory, Tax & Accounting Framework in India

Security Deposit Funding operates within a robust legal and regulatory framework in India, governed by real estate property laws, banking regulations, direct/indirect tax codes, and corporate accounting standards:

1. Real Estate & Contract Law Foundations:
    - Transfer of Property Act, 1882 (Sections 105 & 108): Defines the legal relationship between lessor and lessee. Section 108(g) establishes the lessee's statutory right to peaceful enjoyment and the enforceable legal obligation of the lessor to return refundable security deposits upon lease determination.
    - Indian Contract Act, 1872 (Sections 126 & 145): Governs the Tripartite Assignment Agreement as a contract of guarantee and indemnity, establishing the lender's enforceable right of subrogation and direct recovery against the landlord.
2. Reserve Bank of India (RBI) Banking Directives:
    - Risk Weighting & Capital Adequacy: SDF facilities provided by commercial banks and NBFCs carry standard 100% risk weighting under RBI Basel III guidelines.
    - IRAC Norms: Governed by standard 90-day Income Recognition and Asset Classification (IRAC) NPA provisioning rules.
3. Companies Act, 2013 Statutory Compliance:
    - Section 77 (ROC Charge Registration): The hypothecation/assignment of security deposit receivables requires mandatory registration of charge with the Registrar of Companies (ROC Form CHG-1) within 30 days of creation.
    - Section 180(1)(c): Corporate borrowing limits must be approved via Board and Shareholder Special Resolutions.
4. Direct & Indirect Tax Treatment:
    - Income Tax Act, 1961 (Section 36(1)(iii) & 37(1)): Interest paid on Security Deposit Funding is 100% tax-deductible as a business expense, providing a ~25.17% corporate tax shield.
    - Section 194I (TDS on Rent): Rent paid via Escrow is subject to 10% TDS for commercial property.
    - Goods and Services Tax (GST): Security deposits are capital transactions exempt from GST (SAC 9972). However, if a deposit is forfeited or adjusted against rental arrears, GST @ 18% applies.
5. Ind AS 116 Lease Accounting Standard:
    - Under Ind AS 116, interest-free security deposits are discounted to present value using the tenant's incremental borrowing rate. The difference between nominal deposit value and present value is recognized as an additional Right-of-Use (ROU) Asset and amortized over the lease term.

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Chapter 4: Common Eligibility Criteria & Underwriting Parameters

Institutional credit underwriting for Security Deposit Funding evaluates both quantitative financial metrics of the corporate tenant and qualitative property guardrails:

Underwriting Parameter	Institutional Threshold Benchmark	Financial Significance & Risk Impact
Corporate Credit Rating	CRISIL / ICRA / CARE BBB- to AAA Rank	Ensures structural solvency and low default probability over the 3-5 year loan horizon.
Operating Track Record	Minimum 3 to 5+ Years Established Operations	Verifies business model stability and historical cash flow generation across economic cycles.
Debt Service Coverage Ratio	Projected DSCR >= 1.35x to 1.60x	Ensures operational cash flows comfortably cover monthly SDF loan EMIs and debt service.
Fixed Charge Coverage Ratio	FCCR >= 1.25x (Rent + Loan EMI)	Measures capacity to service combined fixed obligations including gross lease rent and loan EMI.
Loan-to-Value (LTV) Ratio	Maximum 70% to 85% of Deposit Value	Maintains a 15%-30% tenant equity margin buffer against potential landlord damage deductions.
Lease Lock-in Duration	Lock-in Period >= Loan Tenure (3-5 Years)	Prevents early lease termination and ensures deposit stays locked and enforceable during loan tenure.

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Chapter 5: Security Architecture, Collateral Controls & Documentation Suite

Institutional lenders enforce a Five-Pillar Security Architecture to ring-fence Security Deposit Funding facilities against default:

- **Pillar 1: Hypothecation & Assignment of Deposit Receivables:** Exclusive first charge over the refundable lease security deposit, registered with the ROC (Form CHG-1) u/s 77 of Companies Act 2013.
- **Pillar 2: Binding Tripartite Assignment Agreement:** Tripartite deed executed by Tenant, Landlord, and Lender containing the Landlord's direct, irrevocable undertaking to refund the deposit directly to the Escrow account upon lease expiration.
- **Pillar 3: Ring-Fenced Escrow TRA Mechanism:** Escrow account controlling monthly lease rent and terminal deposit refund flows governed by an irrevocable Trust & Retention Account Agreement.
- **Pillar 4: Corporate Parent & Promoter Guarantees:** Unconditional personal guarantees from key promoters and corporate parent guarantees u/s 186 of Companies Act 2013.
- **Pillar 5: Payment Enforcement Instruments:** Automated NACH auto-debit mandates, Post-Dated Cheques (PDCs) for emergency enforcement u/s 138 NI Act / Sec 25 PSS Act, and Demand Promissory Notes.

Master Legal Documentation Suite

Legal Document	Signatories & Parties	Core Purpose & Structural Protection
Tripartite Assignment Agreement	Tenant, Landlord, Lender	Enforces Landlord's direct obligation to refund deposit into Escrow and acknowledges Lender's primary charge.
Registered Commercial Lease Deed	Tenant (Lessee) & Landlord (Lessor)	Establishes legal tenancy, lock-in terms, gross rent, and interest-free refundable security deposit obligations.

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Deed of Hypothecation & Charge	Tenant (Borrower) & Lender	Creates exclusive first legal charge over security deposit receivables and Escrow TRA account balances.
Escrow TRA Agreement	Tenant, Lender, Escrow Agent Bank	Defines the priority cash waterfall governing monthly rent sweeps and terminal deposit refund sweeps.
ROC Form CHG-1 Filing	Tenant & Registrar of Companies	Public statutory registration of charge u/s 77 Companies Act 2013 perfecting security against third parties.

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Chapter 6: Indicative Tenure, Pricing Architecture & Financial Yield Mechanics

Security Deposit Funding facilities offer structured tenures and competitive pricing tailored to corporate lease profiles:

• Indicative Tenure: 3 to 7 years (36 to 84 months), co-terminus with or shorter than the commercial lease lock-in period. Repayment is structured via Equated Monthly Installments (EMIs) or structured principal step-down payments.

• Pricing Architecture: Interest rates range between 8.50% and 11.50% p.a. floating/fixed, calculated as:

SDF Rate = Benchmark Rate (Repo / MCLR @ ~6.50%) + Credit Risk Spread (150-300 bps) + Property Risk Spread (50-100 bps).

Financial Yield Optimization Mathematics:

Consider a corporate tenant requiring INR 10.00 Crores in lease security deposits. Funding INR 8.00 Crores (80% LTV) via an SDF facility @ 9.00% p.a. incurs an annual interest cost of INR 0.72 Crores. With a 25.17% tax shield u/s 36(1)(iii), the net annual post-tax cost is INR 0.538 Crores.

Reinvesting the freed INR 8.00 Crores into store expansion generating 20.00% ROIC produces INR 1.60 Crores in annual operating profit. Net Profit Created = INR 1.60 Cr - INR 0.538 Cr = +INR 1.062 Crores annually (+106.2 bps net equity expansion).

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Chapter 7: Suitable Industries, Asset Classes & Business Profiles

Security Deposit Funding is ideally suited for asset-light, high-expansion corporate profiles operating across major Indian commercial sectors:

1. Retail & Quick Service Restaurant (QSR) Chains: National brands opening 20 to 100+ stores in prime shopping malls and high-street locations where deposits equal 6 to 12 months rent.
2. IT/ITeS & Managed Office / Co-Working Operators: Enterprise workspace providers leasing 100,000+ sq. ft. Grade-A office floors requiring INR 5 Cr to INR 25 Cr+ in security deposits.
3. Logistics & E-Commerce Fulfillment Centers: Third-party logistics (3PL) operators leasing mega-warehousing parks along industrial corridors.
4. Healthcare & Diagnostic Clinic Networks: Hospital and diagnostic chains rolling out regional clinic branches.
5. Hospitality & Hotel Operators: Boutique hotel chains executing long-term property lease agreements.

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Chapter 8: Key Advantages and Limitations Structural Analysis Matrix

Key Advantages of Security Deposit Funding	Structural Limitations & Risk Considerations
Unlocks 70%-85% of trapped equity, converting static non-earning deposits into active operational capital.	Requires monthly debt servicing (EMIs), increasing fixed operating cash outflows.
Accelerates physical location rollout velocity by 3x to 5x without diluting promoter equity.	Ind AS 116 balance sheet accounting recognizes lease liabilities, affecting financial leverage ratios.
100% tax deductibility on interest paid u/s 36(1)(iii), yielding a ~25.17% corporate tax shield.	Requires Landlord cooperation to execute binding Tripartite Assignment Agreements.
Preserves general bank working capital and credit lines for core operational procurement.	Risk of un-justified landlord damage deductions at lease expiry reducing terminal deposit refund.

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Chapter 9: Comprehensive Real-World Case Study (INR 15 Crore Security Deposit Financing)

Corporate Profile: Vanguard Commercial & Retail Outlets India Private Limited (VCRIPL) is a premier national retail chain expanding 30 new flagship dining outlets in Grade-A shopping malls across Mumbai, Delhi-NCR, Bengaluru, and Hyderabad. The total security deposit requirement demanded by mall developers equaled INR 15.00 Crores (INR 50 Lakhs per store across 30 stores).

Financial Challenge: VCRIPL possessed INR 20.00 Crores in growth equity. Paying INR 15.00 Crores in cash deposits would exhaust 75% of its liquidity, leaving only INR 5.00 Crores for store fit-outs and forcing the expansion to be slashed from 30 stores down to 10 stores.

Structured Financial Solution: VCRIPL partnered with a leading private sector bank to execute an INR 12.00 Crore 5-Year Security Deposit Funding Facility @ 9.00% p.a. (80% LTV), contributing only INR 3.00 Crores in equity margin. The bank disbursed INR 12.00 Crores directly to the mall developers under binding Tripartite Assignment Agreements and an Escrow TRA account mechanism.

5-Year Financial Model & Amortization Simulation (INR Crores)

Year	Opening Debt	Annual Debt Service	Tax Shield (25.17%)	Store EBITDA	Closing Debt
Year 1	12.00	3.06	0.27	9.00	10.02
Year 2	10.02	3.06	0.22	11.50	7.86
Year 3	7.86	3.06	0.17	14.00	5.50
Year 4	5.50	3.06	0.12	16.50	2.91
Year 5	2.91	3.06	0.06	18.00	0.00*
Total	—	15.30	0.84	69.00	Terminal Clear

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*Strategic Outcome: At Year 5 lease expiry, mall developers refunded the INR 15.00 Crore security deposit directly into the Escrow account. Escrow cleared the final loan balance of INR 2.91 Crores and released the net surplus refund of INR 12.09 Crores to VCRIPL. By leveraging SDF, VCRIPL opened all 30 stores, generated INR 69.00 Crores in cumulative EBITDA, and expanded Return on Invested Capital (ROIC) from 11.5% to 24.5%.

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Chapter 10: Legal Enforcement, Default Protocols & IBC 2016 Integration

Default Enforcement & Insolvency (IBC 2016) Integration:

1. Remedial Enforcement Protocols:

Under Ind AS 116, interest-free security deposits are discounted to present value using the tenant's incremental borrowing rate. The difference between nominal deposit value and present value is recognized as an additional Right-of-Use (ROU) Asset and amortized over the lease term.

2. Insolvency and Bankruptcy Code (IBC), 2016 Treatment:

• Section 14(1)(d) Leased Property Moratorium: During Corporate Insolvency Resolution Process (CIRP), Section 14 prohibits landlords from repossessing leased property occupied by the Corporate Debtor. However, post-commencement ongoing lease rentals are classified as Priority 1 CIRP Costs.

• Secured Financial Creditor Status: Lenders holding executed Tripartite Agreements and registered ROC Form CHG-1 charges rank as Secured Financial Creditors under Priority 2 of the Section 53 Liquidation Waterfall, ensuring primary recovery against refunded deposit assets.

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Chapter 11: Rookie Mastery Examination (15 High-Yield Test Q&As)

This examination section tests comprehensive mastery of Security Deposit Funding concepts, legal structures, tax shields, and financial yield calculations:

Q1: What is the primary financial objective of Security Deposit Funding (SDF)?

Answer: SDF unlocks trapped corporate equity in Interest-Free Refundable Security Deposits (IFRSD) required for commercial leases, advancing 70%-85% as structured debt to convert static deposits into active working capital for business expansion.

Q2: How does Tenant-Side SDF differ structurally from Landlord-Side Deposit Monetization?

Answer: Tenant-Side SDF funds the tenant's upfront deposit obligation to the landlord under a Tripartite Agreement. Landlord-Side Monetization allows property owners possessing accumulated deposit pools to discount/pledge them for capital improvement or debt refinancing.

Q3: What is the typical Loan-to-Value (LTV) ratio offered for SDF facilities?

Answer: Standard institutional LTV ratios range between 70% and 85% of the refundable security deposit value, leaving a 15%-30% tenant equity margin buffer against potential landlord damage deductions.

Q4: Which statutory section governs the mandatory public registration of charge for SDF facilities?

Answer: Section 77 of the Companies Act, 2013 mandates the filing of ROC Form CHG-1 within 30 days of charge creation over security deposit receivables.

Q5: How is interest paid on Security Deposit Funding treated under the Income Tax Act, 1961?

Answer: Interest paid on SDF facilities is 100% tax-deductible as a corporate business expense u/s 36(1)(iii) and Section 37(1), yielding a ~25.17% corporate tax shield.

Q6: What is the key role of a Tripartite Assignment Agreement in SDF transactions?

Answer: It establishes a direct legal contract among Tenant, Landlord, and Lender, binding the Landlord to deposit monthly rent into Escrow and refund the security deposit directly to the Lender upon lease termination.

Q7: How are security deposits accounted for under Ind AS 116 Lease Accounting?

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Answer: Interest-free deposits are discounted to present value using incremental borrowing rates. The difference between nominal value and present value is capitalized into Right-of-Use (ROU) Assets and amortized over the lease term.

Q8: What is the minimum recommended Debt Service Coverage Ratio (DSCR) for SDF underwriting?

Answer: Lenders mandate a projected DSCR >= 1.35x to 1.60x to ensure operational cash flows comfortably cover monthly SDF loan EMIs.

Q9: What is the priority layer for senior SDF debt servicing in an Escrow TRA cash waterfall?

Answer: Senior SDF debt servicing (EMI) is swept at Priority Tier 3, immediately following gross rent deposits (Tier 1) and statutory tax deductions like TDS u/s 194I and GST (Tier 2).

Q10: Are security deposits subject to Goods and Services Tax (GST) in India?

Answer: Refundable capital security deposits (SAC 9972) are GST-exempt. However, if a deposit is forfeited or adjusted against rental arrears, GST @ 18% applies.

Q11: What benchmark governs the lessee's statutory right to security deposit refund upon lease expiry?

Answer: Section 108(g) of the Transfer of Property Act, 1882 establishes the lessee's statutory right to peaceful enjoyment and the lessor's enforceable obligation to return refundable deposits upon lease determination.

Q12: How does Security Deposit Funding impact Return on Invested Capital (ROIC)?

Answer: Reinvesting freed deposit equity into core operations @ 18%-25% ROIC exceeds the net post-tax SDF borrowing cost (~6.7%), expanding enterprise ROIC by +100 to +300 basis points.

Q13: What is the typical tenure offered for Security Deposit Funding facilities?

Answer: Tenures range from 3 to 7 years (36 to 84 months), structured to be co-terminus with or shorter than the commercial lease lock-in period.

Q14: How does IBC 2016 Section 14 treat commercial leases during corporate insolvency (CIRP)?

Answer: Section 14(1)(d) prohibits landlords from terminating leases or repossessing occupied property during CIRP, while post-commencement lease rentals are classified as Priority 1 CIRP Costs.

Q15: What status do SDF lenders hold in the Section 53 Liquidation Waterfall under IBC 2016?

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Answer: Lenders holding executed Tripartite Agreements and registered ROC Form CHG-1 charges rank as Secured Financial Creditors under Priority Tier 2 of the Section 53 Liquidation Waterfall.

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